PANJAB UNIVERSITY, CHANDIGARH

Outlines of tests, syllabi and courses of reading for M.Phil. course in Economics for the session 2015-16.

SEMESTER – I

09 CREDITS

Paper I	Economic Theory	03 Credits (75 marks) (60+15 internal Assessment)
Paper II	Research Methodology	03 Credits (75 marks) (60+15 internal assessment)
Paper III	Optional (Any one of the following):	
	(i) Economic Development	03 Credits (75 marks) (60+15 internal assessment)
	(ii) International Economics	03 Credits (75 marks) (60+15 internal assessment)
	(iii) Money, Banking and Finance	03 Credits (75 marks) (60+15 internal assessment)
	(iv) Economics of Public Finance	03 Credits (75 marks) (60+15 internal assessment)

SEMESTER II

15 Credits

Paper IV	Dissertation	09 credits (225 marks) (Dissertation 180+45 Viva-voce marks)
Paper V	Applied Econometrics	03 Credits (75 marks) (60+15 internal assessment)
Paper VI	Optional (Any one of the following options):	
	(i) Agricultural Economics	03 Credits (75 marks) (60+15 internal assessment)
	(ii) Industrial Economics	03 Credits (75 marks) (60+15 internal assessment)
	(iii) Public Policy and Governance	03 Credits (75 marks) (60+15 internal assessment)

The students must submit the broad area(s) in which they want to do their dissertation within one month of the start of the 1st semester classes so that the process of allocation of M.Phil. dissertation shall commence in the 1st semester itself.

There will be an internal assessment of 15 marks in each paper which would be based on Term Paper to be presented by each student.

PAPER – I : ECONOMIC THEORY

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hour : 40
Time : 3 Hours

Objectives: The aim of this paper is to make the students familiar with some of the recent developments in micro and macro economics which have wide range of applicability to solve and explain phenomena; some of which can provide new insights into the empirical estimation of economic relationship.

Pedagogy: Class Room Teaching, Term Paper/Assignment, Presentations, Book Reviews & Seminars.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.
The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT – I

Missing markets: some applied micro economic aspects

Externalities: Bilateral and Multilateral externalities, Inefficiency of resource allocation in the presence of externalities; Private Cost versus Social Cost.

Solutions to the problem of externalities: Government Responses; Regulation, Corrective Taxes, The Compensation principle, Creating a market. Private Responses; Allocating Property Rights, Bargaining and Coarse Theorem.
Nonconvexities and the Theory of Externalities

UNIT – II

Public Goods: Efficient provision of discrete and continuous public goods. Private provision of discrete and continuous public goods. Voting for Public goods. Lindahl allocations.

Asymmetric Information:
Issues of Hidden characteristics/actions and Moral Hazard; The Principal Agent problem. Moral Hazard in Insurance and Product markets.
Adverse Selection and the problem of lemons; the efficiency effects of adverse selection
Market and Government responses to Asymmetric Information; Market Signaling

UNIT – III

Monetarist Keynesian Debate of Macroeconomic Theory and Policy.
The Structure, Policy implications and Assessment of the New Classical school,

The core propositions, features, policy implications and Assessment of New Keynesian School.
Essential features of the Austrian school

UNIT – IV

Exploring Money Multiplier, Demand for Money and Philips Curve in Indian context.
Macro Economic theory for India
The Global Economic Crisis and Macro Economic theory
India and the Global Economic Crisis.

References:

1. Ben Fine, Costas Lapvitsas and Jonathan Pincus eds. (2001) : Development Policy in the Twenty First Century Beyond the Post- Washington Consensus, Routledge, Oson.

2. Bhaduri, A (1993) : Unconventional Economics Essays, Oxford University Press, New Delhi.

3. Dornbusch, R, S. Fischer, R Starz (2004) : Macroeconomics, (9th Edition) Tata McGraw Hills Publishing Co. Ltd., New Delhi.

4. Eric J. Pentecost (2000) : Macroeconomics: An open economy approach, Macmillan Press Ltd., London.

5. Gordon Robert J. (2012) : Macro Economics, Pearson Education.

6. Gupta, G S (2004) : Macroeconomics: Theory an Applications (2nd Edition),Tata McGraw Hills Publishing Co. Ltd., New Delhi.

7. Gupta, P.K. and Heera, D.S. : Operations Research, Sultan Chand.

8. Griffiths, W.E., and Hill, Carter. R : Using Gretl for Principles of Econometrics [4th Edition], John Wiley and Sons.

9. Jha Raghbendra (2008) : Contemporary Macroeconomic Theory and Policy, New Age International Publication.

10. Katz, M L and Harvey S Rosen (1999) : Microeconomics (2nd edition).

11. Krishna, K.L. (1999) : Econometric Application in India, Oxford University Press, New Delhi.

12. Kumbhakar, Subal C. (1994) : Stochastic Frontier Analysis, Cambridge, University Press.

13. Mas-Colell, M.D. Whinston & J.R. Green (1995) : Microeconomic Theory, Oxford University Press.

14. Patnaik, P (1997) : Macroeconomics, Oxford University Press, New Delhi.

15. Pindyck, R.S.Rubinfeld, D.L & P.L. Mehta (2005) : Microeconomics (5th Edition),Pearson Education Delhi.

16. Rakshit, M (1989) : Studies in the Macroeconomics of Developing Countries, Oxford University Press, New Delhi.

17. Ramanathan, R. **:** An Introduction to Data Envelopment Analysis: A Tool for Performance Measurement, Sage Publications.

18. Rodrik, Dani (2007) : One Economics, Many Recipes: Gobalization, Institutions and Economic Growth, Princeton University Press.

19. Rostow, W W (1991) : The Stages of Economic Growth: Communist Manifesto, Cambridge University Press.

20. Solow, Robert M (2000) : Growth Theory: An Exposition, Second Edition, Oxford University Press, Inc.

21. Snowdon Brain and Vane Howard R. (2005) : Modern Macroeconomics, Edward Elgar.

22. Thirlwal, A (2005) : Growth and Development: With Special Reference to Developing Economies, Palgrave Macmillan.

PAPER-II : RESEARCH METHODOLOGY

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hour : 40
Time : 3 Hours

Objective of the Course: The objectives of this paper are (i) to acquaint the students with the advances in the filed of Research Methodology; and (ii) develop research methodological skills for undertaking research in social sciences in general and in a discipline in particular.

Pedagogy: Class Room Teaching, Term Paper/Assignment, Presentations, Book Reviews & Seminars.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.
The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT-I

Philosophy of Social Sciences:
Approaches to Social Sciences Research: Quantitative and Qualitative.
Inter-disciplinary Research in Social Sciences: Rationale and Approaches.
Social Science Research Process.
Selection and Formulation of Research Problem under Quantitative and Qualitative research approach.
Research Synopsis: Concept, Format and Writing.

UNIT-II

Hypothesis: Concepts, Types, Features and Testing.
Sampling: Concepts, Types, Size, Sampling Error.
Triangulation: Concept, Rationale and Process.
Meta Analysis: Concept, Rationale and Process.

UNIT-III

Methods of Data Collection.
Data Processing
Data Analysis
Report and Thesis Writing.

UNIT-IV

Data Sources of Indian Economy
Nature and Sources of Micro and Macro statistical data relating to: Agriculture, Industry, Public Finance, Banking & Finance, External Trade, Consumption, Employment, and National Income.

Selected Readings:

1. John W. Creswell : Research Design: Qualitative and Quantitative Approaches, London, Sage Publications, 1994.
2. S.P.Gupta : Statistical Methods (latest edition), New Delhi, Sultan Chand and Sons, 1987.
3. C.A. Moser and G.Kalton : Survey Methods in Social Investigation, London. The English Language Book Society and Heinemann Educational Books, 2nd edition 1979.
4. Delbert C. Miller : Handbook of Research Design and Social Measurement, London, Sage Publications, 5th edition.
5. David Nachmias and Chara Nachmias : Research Methods in the Social Sciences, New York, St. Martin's Press Inc. 2nd edition.
6. Clarie Seltiz et.Al : Research Methods in Social Relations, New York, Holt Rinehart and Winston.

7.	Pauline V. Young	:	Scientific Social Research and Surveys, India. Asia Publishing House, 4th edition, 2007.
8.	William J. Goode and Paul K. Hatt	:	Methods in Social Research, (USA, Mc Graw Hill Book Company, Ist Indian Reprint, 2006.
9.	Norman K.Denzin, Yvonna S.Lincoln (eds.)	:	The Landscape of Qualitative Research: Theories and Issues. Sage Publications, New Delhi, 2003.
10.	Clive Seale, Giampietro Gobo, Jaber I. Gubrium & David Silverman (eds.)	:	Qualitative Research Practice, Sage Publications, New Delhi, 2004.
11.	Dawn Durton (ed.)	:	Research Training for Social Scientists, Sage Publications, New Delhi, 2000.
12.	Royle A.Singleton, Jr. and Bruce C. Straits	:	Approaches to Social Science Research, 1999, Oxford University Press.
13.	Mason, Jennifer	:	Qualitative Researching, 2002, Sage.
14.	Chandrasekhar C.P., Jandhyala B.G. Tilak	:	India's Social-Economic Database – surveys of selected areas, 2001, Tulika, New Delhi.

Paper III -Option (i) : ECONOMIC DEVELOPMENT

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hour : 40
Time : 3 Hours

Objectives: The global developments of the past about two decades have thrown open enormous opportunities in diverse forms. They have created several daunting challenges as well. Research is perceived to play very important role in enabling communities and policy makers to cope up with the emerging challenges successfully. Against this backdrop, the basic objective of this course is to make the prospective researchers familiar with the development issues currently facing the global community. It aims to equip them with the latest developments in the area so that they get ignited to undertake socially meaningful research, particularly in the emerging scenario.

Pedagogy: Class Room Teaching, Term Paper/Assignment, Presentations, Book Reviews & Seminars.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.
The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT – I

Development Issues of our Time I: Looking beyond the Neo-classical Growth Theory; Role of Human Capital (Health, Education), Innovations and Evolving Technologies, Environmental Issues.

UNIT – II

Development Issues of our Time II: Institutions and Development; Markets, Networks, Social Capital; Finance and Development; Political Economy and Policies of Development; Inequality and Development.

UNIT – III

Development Policy in the Twenty-First Century-I: Creating Roadmaps towards Quest for Happiness through Inclusive Growth; Creating more Gainful Employment and Earning Opportunities, Devising Mechanisms for Empowerment.

UNIT – IV

Development Policy in the Twenty-First Century-II: Alternate Policy Paradigms: Economic Nationalism in a Globalizing World; Cooperation versus Competition and Development.

List of Readings:

1. A B Atkinson and A Brandolini (2001), "Promise and Pitfalls in the use of " Secondary" Data Sets: Income Inequality in OECD Countries, " Journal Of Economics Literature.

2. Ades, Alberto and Edward Glaeser, "Evidence on growth, increasing returns, and the extend of the market,"Quarterly Journal of Economics, Volume CXIV (3), August 1999,pp.1025-1046. Aghion and Howitt, Chapters 2,3,12.

3. Alberto Alesina and Beatrice Weder, Do Corrupt Governments Receive Less Foreign Aid, Revised:May,2000,http:/post.economics.havard.edu/faculty/alesina/pdf-papers/aidjune 10.pdf

4. Alberto Alesina and Dani Rodrik (1994), "Distributive politics and economic growth ," Quarterly Journal of Economics,108: 465-90.

5. Alberto Alesina and Roberto Perotti. "The Policies of Growth : A Survey of the Recent Literature,"World Bank Economics Review, September 1994 8:351-72.

6. Allan Drazen, Ploitical Economy In Macroeconomics, Princeton University Press, 2000, Chapter 10 and 11.

7. Barro and Sala- Martin, Chapter 3-5.

8. Barro and Sala- i-Martin, Economic Growth, see especially Chapters 1 & 2.

9. Bils, Mark and P. Klenow "Does Schooling Cause Growth?", American Economic Review, December 2000, 90(5), pp.1160-1183.

10. Burnside, Craig and David Dollar, "Aid Policies, and Growth," American Economic Review 90(4) (September2000): pp.847-68.

11. Chang Tai Hsieh and Peter Klenow, Relative Prices and Relative Prosperity, mimeo Stanford and Berkeley, August 2004.

12. Chang Tai Hsieh, What Explains the Industrial Revolution in East Asia? Evidence from the factor Markets. (American Economic Review, June 2002).
http:/www.princeton.edu/-chsieh/aea3pdf

13. Conley, Timothy and Chris Udry.2002.Learning about a New Technology: Pineapple in Ghana. Manuscript:Yale.
http://www.econ.yale.edu/~udry/pdf/learn.pdf

14. Costas Azariadis and John Stachurski, Poverty Traps?, Prepared for the Handbook of Economic Growth, 2004.
http:/elsa.berkley.edu/~chad/azstach.pdf

15. Dani Rodrik, Growth Strategies, a paper for the Handbook of Economic Growth, April 2003.

16. Daron Acemoglu, Simon Johnson, James Robinson, Institutions as the Fundamental Cause of Long-Run Growth, April 29, 2004, forthcoming Handbook of Economic Growth, http://else.berkeley.edu/~chad/handbook9sj.pdf

17. Daron Acemoglu, Simon Johnson, james Robinson, Reversal of Fortune: Geography and Institutions in the making of the modern World Income Distribution, Quarterly journal of Economics, November 2002, Volume117, pp.1231-1294.

18. Daron Acemoglu, Simon Johnson, James Robinson, The Colonial Origins of Comparative Development: An Empirical investigation, American Economic Review, December, 2001, volume 91, pp.1369-1401.

19. David Albouy, The Colonial Origins of Comparative Development: A Reinvestigation of Data, Department of Economics, University of California-Berkeley, July 2004.

20. Deepa Narayan, and Lant Pritchett, Cents and Sociability: Household of Income and Social Capital in Rural Tanzania, Economic Development and Cultural Change, 1999, Vol.47(4).

21. Edward L.Glaeser, BruceI.Sacerdote and Jose A Scheinkman, The Social Multiplier (June 2002) European Economic Review, Forthcoming.

22. Edward L.Glaeser, David Laibson, and Bruce Sacerdote the Economic Approach to Social Capital, Economic Journal, 112 (2002): 437-458.

23. Edward L.Glaeser, Rafael La Porta, Florecio Lopez-de-Silanes, Anderi Shleifer, DO INSTITUTIONS CAUSE GROWTH? NBER Working Paper 10568, June 2004.
http://papers.nber.org/papers/w10568.pdf

24. Esther Duflo and Abhijit Banerjee Inequlitiy and Growth: What Can the Date Say? June 2003, Revised, http://econ-www.mit.edu/faculty/download_pdf.php?id=445

25. Forbes, Kirsten J.(2000)" A Reassessment of the relationship between inequality and growth" American Economic Review ,90(4) , 869-887.

26. Francesco Caselli "The missing input: Accounting for Cross-Country Income Differences", forthcoming chapter in the Handbook of Economic Growth November 2003.

http://post.economics.havard.edu/faculty/caselli/papers/handbook.pdf

27. Grief, Avner (1993) "Contract Enforceability and Economic Institutions in Early Trade: The Maghribi Traders," American Economic Review,83 (3),pp.525-548.

28. Jacob Svensson, "Foreign Aid and Rent –Seeking", Journal of International Economics, 2000, Vol.51 (2):437-461.

29. Jacob Svensson, Why Conditional Aid Doesn't Work and What Can Be Done About It? Journal of Deveopment of Economics, 2003, Vol.70 (20:381-402).

30. James Rauch, "Business and Social Networks in International Trade," "Journal of Economic Literature 39 (December 2001): 1177-1203.

31. Jess Benhabib and Mark M. Spiegel, Human capital and Technology Diffusion, December 9, 2002,

http://www.econ.nyu.edu/user/benhabib/growthhandbook10.pdf

32. Jones, (Chad.1995) "R&D-Based Models of Economic Growth", journal of Political Economy, August, 103, pp.759-84.

33. Jones, Charles. (1995) " Time Series tests of Endogenous Growth models"Quartely journal of Economics, May, 105(2), 495-526.

34. Klenow, Peter and Andres Rodriquez-Clare (1997). "The Neoclassical Revival in Growth Economics: Has it Gone Too Far?" NBER Macroeconomics Annual 1997, Volume 12, 73-103.

35. Krueger, Alan B. And Mikael Lindahl "Education For Growth" Journal of Economic Literature, 2001.

36. Lant Prichett, Diveergence, Big Time. Journal of Economic Perspectives, 1997.

37. Mankiw, N.Gregory (1995). "The Growth of Nations", Brookings Papers on Economic Activity 1,pp.275-326.

38. Marcel Fafchamps, Market Institutions in sub-Saharan Africa, MIT Press, 2004 (chapter 1,2,22, and possibly others).

39. Marcel Fafchamps, Networks, Communities and markets in SUB-Saharan Africa: Implications of firm Growth and investment, journal of African Economics, Volume 10, supplement 2: September 2001, pp.109-142.

40. Oded Galor; Joseph Zeira, Income Distribution and Macroeconomics, The Review of Econmics Studies, Vol.60, no.1.(Jan.,1993),pp.35-52.

41. Peter Boone, "Politics and the Effectiveness of Foreign Aid." European Economic Review, 1996, 40(2), pp.289-329.

42. Pritchett, Lant (2001). "Where Has All The Education Goner?" World Bank Economic Review.

43. Pritchett, Lantt. " Does Learning to add up? The return to Schooling in aggregate data," draft for Handbook of Education Economics, September 2, 2004.

44. Romer, Paul (1995). Comment on N. Gregory mankiw, "The Growth of the Nations"

45. Brooking Papers on Economic Activity 1, pp.313-320.

46. Ronald Benabou, Inequality, Technolohgy, and the social Contract, December 2003, chapter for Handbook of Economic Growth,

http://www.princcton.edu/%Erebenabou/Handbook1.pdf

47. Ross Levine, "Finance and Growth: Theory and Evidence", Chapter for Handbook of Economic Growth, September 2004, available at http://legancy.csom.umn.edu/WWWPages/FACULTY/RLevine/Index.html

48. Stanly L. Engerman and Kenneth L. Sokoloff, Factor Endowments, Inequality, and paths of Development among New World Economies, Economic, Fall 2002.

49. Thorsten Beck and Ross Levine, Legal Institutions and Financial Development, July 29, 2003, available at http://legancy.csom.umn.edu/WWW Pages/Faculty/R.

50. Valerie Bockstette, Arrendam Chanda, and Louis Putterman, 2002, States and Markets: The Advantage of an Early Start, journal of Economic Growth, 7, 347-369.

51. W. Easterly and R. Levine, "Africa's Growth Tragedy: Policies and Ethnic Divisions," November 1997, Quarterly Journal of Economics, CXII (4),1203-1250.

52. W. Easterly, "National Policies and Economic Growth: A Reappraisal" Development Research Institute (DRI) Working Paper No. 1, New York University, paper for the Handbook of Economic Growth, March, 2003.

53. William Easterly, Ross Levine, and David Roodman "New Data, New Doubts: A Comment on Burnside and Dollar's "Aid, Policies, and Growth," (2000). American Economic Review, 2003, forthcoming.

Additional Readings:

1. Amartya Sen (1999), "Employment, Technology and Development". Oxford University Press.

2. Ben Fine, Costas Lapvitsas and Jonatham Pincus eds.(2001), Development Policy in the Twenty-First Century Beyond The Post-Washington Consensus, Routledge.

3. Oson Banka Milanovic (2007), Worlds Apart: Measuring International and Global Inequality, Princeton University Press.

4. Dani Rodrik (2007), One Economics, many Recipes: Globalization, Institutions and Economic Growth, Princeton University Press.

5. Igancy Sachs (2000), Understanding Development, Oxford University Press.

6. Jeffriy D. Sachs (2005), The End of the Poverty: Economic Possibilities for our Time, Penguin Press.

7. Manus I. Midlarsky ed. (1997), Inequality, Democracy, and Economic Development, Cambridge University Press.

8. Narcis Serra, Joseph E. Stiblitz Eds. (2008), The Wsigton Consensus Reconsidered: Towards a New Global Governance (Initiative for policy Dialouge), Oxford.

9. Paul Patrick Streeten (1997), Thinking about Development, Cambridge University Press.

10. Sen, A.K. (1984), Resources, Values and Development, Basil Blackwell, Oxford.

11. Sen, A.K. (1999), Development As Freedom, Knopf, Harvard.

12. Toye, J. (1987), Dilemmas of Development, Blackwell, Oxford.

13. World Bank (2005), World Development Report: Equity and Development, World Bank, The U.S.

14. World Bank (2001), Finance for Growth: Policy Choices in a Volatile World, Oxford University Press Inc, U.S.A.

15. W.W. Rostow (1991), The Stages of Economic Growth: A Non-Communist Manifesto, Cambridge University Press.

PAPER III- Option (ii) : INTERNATIONAL ECONOMICS

3 credits
75 marks
(60+15 internal assessment)
Teaching Hour : 40
Time : 3 Hours

OBJECTIVE: The course intends to provide a deep understanding about the broad principles and theories, which tend to govern the free flow of trade in goods, services and capital at the global level. The contents of the paper spread over different modules, lay stress on the theory and nature of the subject which, in turn, will greatly help them to examine the impact of the trade theories and policies followed both at the national and international levels also their welfare implications at macro level and the distribution of gains from trade.

The time-tested method of imparting verbal instructions through lectures would be used. Examples, in so far as possible, would be selected from everyday life/experience. The feedback would be sought through the students writing assignments, tutorials and seminars.

Pedagogy: Class Room Teaching, Term Paper/Assignment, Presentations, Book Reviews & Seminars.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.
The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT– I

Higher Dimensional Issues in International Trade Theories.
Testing Trade Theories.

UNIT – II

Concept and Various issues in International Factor Movements: Labour and Capital.
The Instruments of trade Policy: Analysis, Effects, Controversies.

UNIT – III

International Rules and Institutions for Trade Policy.

UNIT – IV

Global Financial Markets: Role, Growth, Effects. Changing Pattern of Global Trade. Analysis of Various Issues in Indian Trade Policy.

Books:

1. Books : Volume I, II, III Jones, Ronald W	:	Handbook of International Economics. Elsevier.
2. Paul R Krugman and Marice Obrstfeld, (2009)	:	International Economic Theory and Policy. Addison–Wesley Series in Economics
3. Robert J. Carbough (2002)	:	International Economics. Thomson South Westow.
4. Thomas J O'Brien	:	International Financial Economics Oxford University Press.
5. Oded Shankar and Yadang Luo	:	International Business Wiley Student Edition, John Wiley & Sons.

PAPER III -OPTION (iii) - MONEY, BANKING AND FINANCE

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hour : 40
Time : 3 Hours

OBJECTIVE: This course aims to provide the doctoral students exposure to the recent developments in money, banking and financial issues in Indian economy.

Pedagogy: Class Room Teaching, Term Paper/Assignment, Presentations, Book Reviews & Seminars.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.
The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT – I

Money Inflation and Growth.

Reserve Bank of India and Money Supply Growth Rule.

Estimating Money Multiplier for India.

UNIT – II

Empirical Demand Function for money for India.

The Banking Sector in India: Emerging issues and challenges.

Recent Developments in the Theory and Role of Central Banks with special reference to the issues of Role, Autonomy and Monetary Policy of Reserve Bank of India.

UNIT – III

Recent Developments in the Theory of Financial Markets and Asset Pricing.
Current state of the Indian Capital Market.

UNIT – IV

Financial Liberalization in India: An Assessment.

Financial Sector Regulation in India.

References:

1. Benjamin M. Friedman and Frank H. Haun (Ed.) (2000) : Handbook of Monetary Economics Volume I and Volume II.

2.	Peter Bofinger(2001)	:	Monetary Policy: Goals, Institutions, Strategies and Instruments, Oxford University Press.
3.	Rakesh Mohan (2009)	:	Monetary Policy in a Globalized Economy: A Practioner's View, Oxford University Press.
4.	Economic and Political Weekly:		Various Issues.
5.	The Indian Economic Journal:		Recent Issues.
6.	Government of India	:	Economic Survey: Latest Issue.
7.	Reserve Bank of India	:	Report on Currency and Finance, Current Issues.

PAPER III – OPTION (iv) : ECONOMICS OF PUBLIC FINANCE

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hour : 40
Time : 3 Hours

Objective: Today is the time of evaluation of contour of Public Finance with a view to appreciate the role of government from a planned economy to a market economy. This raises some fundamental Issues: The course is designed to capture these issues.

Pedagogy: Class Room Teaching, Term Paper/Assignment, Presentations, Book Reviews & Seminars.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.
The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT – I

Scope of Government: Public goods, club Good, Merit Goods. Externalities: Market Solution and Pigouvian Solution. Distribution Function of the Government: Principles of Fair Distribution.

UNIT – II

Evaluation Tax and Expenditure: Theory of Tax Reforms with reference to Excess burden and Optimal Taxation. Expenditure Reforms. Cost Benefit Analysis: Real and Pecuniary impacts, Evaluation of Benefits, Shadow Pricing, Discounting and cost of capital.

UNIT – III

Meaning and Significance of Fiscal Deficit**.** Problems of Fiscal Deficit and Public debt in Central and State Finances in India.
Fiscal Responsibility and Budget Management Act – Issues and Challenges.

UNIT – IV

Fiscal Federalism and Centre-State Financial Relations: Issue of Assignment; Tax Alignment. Vertical and Horizontal Imbalances. Evaluation of Criteria for Fiscal Transfers
Evaluation of State Finance Commissions.

References:

1. Ahluwalia, Isher Judge & Little, I M D (ed.) (1998) : India's Economic Reforms and Development: Essays for Manmohan Singh Oxford University Press.

2. Bagchi, A (2005) : Readings in Public Finance, Oxford University Press.

3. Cullis, J and Jones, P (1992) : Public Finance and Public Choice, McGraw Hill.

4. Hayman, D N (2005) : Public Finance (Thomson, South Western).

5. Rao, Hemlata(2006) : Fiscal Federalism: Issues and Policies New Century Publications, New Delhi.

6. Rao, M G (2009) : The Fiscal Situation and Reform Agenda for the New Government (EPW, June 2009, Vol. XLIV. No. 25).

7. Srivastava, D K (2005) : Issues in Indian Public Finance New Century Publications, New Delhi.

8. Surry, M M (2006) : Finance Commissions of India, I to XII New Century Publications, New Delhi.

9. Oommen, M A (2010) : Have the State Finance Commissions Fulfilled Their Constitutional Mandates?

10. Economic & Political Weekly, July 24, 2010. : Vol, XLV No. 30.

11. India Development Report : Various Issues

Articles in various journals to be provided at the time of teaching

SEMESTER – II

PAPER V – APPLIED ECONOMETRICS

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hour : 40
Time : 3 Hours

OBJECTIVES: Application of economic theory need a reasonable understanding of economic relationships and relevant statistical methods. The econometric theory thus becomes a very powerful tool for understanding of applied economic relationships and for meaningful research in economics. This paper accordingly is devoted to equip the students with basic theory of econometrics and relevant applications of the methods. The topics covered in the course include methods to develop and implement various econometric models (both single equations and simultaneous equation models) in advance statistical/econometrics packages (i.e., STATA/Eviews/SPSS/Gretl).

Pedagogy: 60 marks allotted for class room teaching and 15 marks for Lab Practical. The Lab practical comprising 5 marks for successful execution of computer task, 5 marks for computer file, and A5 marks for viva-voce on implementing the econometric techniques in a given package on research topic assigned by the examiner.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.
The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT-I

Introductory Econometrics: Introduction to Nature, Role and Significance of Econometrics, Notes of Caution while Developing and Using Econometric Models.

Classical Econometrics: Bi-variate and Multivariate Regression Analysis Using STATA/Eviews/SPSS/Gretl; interpretation of coefficients, test of hypotheses and restrictions, goodness of fit statistics. Testing the Existence and Solving the Problems of Non-normality, Heteroscedasticity, Autocorrelation and Multicollinearity using STATA/Eviews/SPSS/Gretl.

UNIT – II

Econometrics of Categorical Variables: Role of Categorical Variables in Econometric Modeling. Creating Categorical/Polychotomous Variables in STATA/Eviews/SPSS/Gretl. Estimating and interpreting the models with categorical variables as independent variables in STATA/Eviews/SPSS/Gretl.

Categorical Dependent Variable Models: Models with Dichotomous Response; Logit, Probit and Tobit estimation using STATA/Eviews/SPSS/Gretl. Models with Polychotomous Response; Multinomial Logit/Probit, Ordered and Sequential Response Models Estimation using STATA/Eviews/SPSS/Gretl. Interpretation of Coefficients and Marginal Effects. Test of Significance and Goodness of Fit Statistics for Categorical Response Variable Models in STATA/Eviews/SPSS/Gretl.

UNIT – III

Time Series Analysis: Using Distributed Lag, Autoregressive, and Moving Average terms in STATA/Eviews/SPSS/Gretl. Testing and Interpreting the Presence of Unit-root, Seasonality and Structural Breaks in Time Series Variables using STATA/Eviews/SPSS/Gretl. Estimating and Interpreting Co-integration, VAR/VECM and Impulse Response models/coefficients using STATA/Eviews/SPSS/Gretl.

UNIT – IV

Simultaneous Equation Models: Estimating Simultaneous Equation Models using STATA/Eviews/SPSS/Gretl. Basic Discussion on Identification Problem; Rank and Order Conditions for Identification. Estimating the Simultaneous equations models using Indirect Least Squares (ILS), Two Stage Least Squares (2SLS), Full Information Maximum Likelihood (FIML) and Seemingly Unrelated Regression (SUR) methods in STATA/Eviews/SPSS/Gretl.

Panel Data Analysis: Testing Significance of Cross-section and Time-specific Effects in STATA/Eviews/SPSS/Gretl. Estimation and Interpretation of the Coefficients of Fixed and Random Effect Models in STATA/Eviews/SPSS/Gretl. Hausman Specification Test and Model Selection criteria in STATA/Eviews/SPSS/Gretl. An Introduction to Panel Data Unit-root and Co-integration testing using STATA/Eviews/SPSS/Gretl.

References:

1. Damodar Gujarati (2003) : Basic Econometric [4th Edition], McGraw Hill, New York.
2. Jack Johnston and John Dinardo (1997) : Econometric Methods [4th Edition], McGraw Hill, New York.
3. Hill, Carter. R., Griffiths, W.E. and Lim. G.C. : : Principles of Econometrics [4th Edition], John Wiley and Sons.
4. Adkins, Lee. C. and Hill, Carter. R : Using STATA for Principles of Econometrics, [4th Edition], John Wiley and Sons.
5. Griffiths, W.E., and Hill, Carter. R. : Using Eviews for Principles of Econometrics [4th Edition], John Wiley and Sons.
6. Griffiths, W.E., and Hill, Carter. R. : Using Gretl for Principles of Econometrics [4th Edition], John Wiley and Sons. Available at www.learn**econometrics**.com/**gretl/using_gretr**_POE4.pdf

PAPER VI: OPTION (i): AGRICULTURAL ECONOMICS

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hour : 40
Time : 3 Hours

OBJECTIVES: The paper is designed to expose the students to the contemporary issues in agricultural development both in the theory and in the Indian context.

Pedagogy of the Course Work: The course relies on a combination of lectures, solving problems, and discussing of academic articles or real-life situations. Teacher will assign topic for assignments on contemporary themes and issues from the syllabi. Special tutorials/contact hour for one-to-one student-teacher interactions.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.
The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT – I

Agriculture Transformation – Role of Agricultural Innovations: Generations of Innovations (induced innovations, Political Economy of Public Funded Innovations, and Policies and Institutions Managing Innovations]; Technology Adoptions [Adoption and Diffusion, Risk Management, Institutional Constrains to Innovations and Farm Policy]; Ruttan-Hayami Induced Innovation Hypothesis.

Agricultural Commodity Futures and Options: Nature and Principles of Future Markets; Participants in Future Markets; Trading in the Presence of Risk Aversions and Transaction Costs, Future Prices as Forecasts.

UNIT – II

Agro-processing: Specificities of Agro-processing, Developmental Role of Agro-processing Industries, Selection and Evolution Options; Food Processing Policy of India, 2005.

Agricultural Finance: Agency Relationship, Adverse Selection, Moral Hazards and Enforcement Problem; Segmented Rural Credit Markets; Resolving Information and Incentive Problems; Managing Borrowers' Credit Risks, Agribusiness and Trade Financing and Role of Social Capital.

Unit – III

Political Economy of Agricultural Policies: Protection Across Countries and Sectors, Influence of Political Institutions; Collective Actions of Lobbing Groups and Strategic Interactions between Lobbing Groups and Politicians; Use of Inefficient Instruments and Rent Seeking; and Explaining Public Investment in Agricultural Research.

Food Security and Food Assistance: Concept, Threat, Indicators and Mechanism to Food Security; Food Assistance Programmes [both Domestic and International], and Their Effectiveness.

UNIT – IV

Indian Agriculture- Opportunities and Challenges: Expectations, Performance, Problems and Prospects of Indian Agriculture in the Post-reform Period.

Investment in Farm People: Role of Human Capital Formation [Education and Health] in Modernization and Transition of Agrarian Economies.

References:

1. Bruce L. Gardner and Gordon C. Rausser (2002) : Handbook of Agricultural Economics, Vol-1A,1B, 2A, 2B and 3; North-Holland, Amsterdam.
2. James G. Brown and Deloitte and Touche (1994) : Agro-industrial Investment and Operations, Washington, The World Bank.
3. Government of India (2005) : Food Processing Policy, Ministry of Food Processing, New Delhi.
4. T.W. Schultz (1981) : Investing in Peoples: The Economics of Population Quality, University of California, Berkley.
5. Radhakrishna R, S. K. Rao, S. Mahendra Dev and K Subbarao (2006) : India in a Globalising World: Some Aspects of Macro economy, Agriculture and Poverty, Academic foundation, New Delhi.
6. Government of India (2004) : State of the Indian Farmer : A Millennium Study, Academic Foundation and Ministry of Agriculture, New Delhi, (Vol. 1-27).

PAPER VI: OPTION (ii): INDUSTRIAL ECONOMICS

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hour : 40
Time : 3 Hours

Objectives: In the 21st century, efficiency and competitiveness in all spheres of economic life and more 500 industrial sectors are at the core of success. The present syllabus is designed for the students to capture the contemporary issues in industrial development both in theory and in the Indian context.

Pedagogy of the Course Work: The course relies on a combination of lectures, solving problems, and discussing of academic articles or real-life situations. Teacher will assign topic for assignments on contemporary themes and issues from the syllabi. Special tutorials/contact hour for one-to-one student-teacher interactions.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.
The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT – I

Structure Conduct Performance Paradigm of Bains; Oligopolistic Rivalry; Collusion possibility; Dominant firm Behavior: Limit Price and Strategic Conduct.

UNIT II

Economics of Takeovers and Mergers: Types, Objectives and Effects. Public Policy for business combinations with special reference to India: Takeover code of SEBI and Competition Policy

UNIT – III

Technological Progress: Concepts, Optimal Technological Change; Patents and Innovations.

UNIT – IV

Porter's Five Competitive Forces: Bargaining Power of Customers,
The Bargaining power of Suppliers, The Threat of New Entrants,
and The Threat of Substitute Products -- Combined with Other Variables
to Influence a Fifth Force, The Level of Competition in an Industry.

References:

1. Martin, Stephen (2001) : Advanced Industrial Economics, Blackwell, (2nd edition).
2. Scherer, F M & Ross David (1990) : Industrial Market Structure and Economic Performance, Boston Houghton Mifflin Company, (3rd edition).
3. Hay, D A & Morris, D J (1979) : Industrial Economics and Organization Oxford Univ. Press, New York.
4. Shepherd, William, G, J.M. Shepherd (2003) : The Economics of Industrial Organization Analysis, Market Policies. Prentice Hall International, (5th edition).
5. Petersen H.C., W.C. Lewis (2002) : Managerial Economics, Prentice Hall of India, New Delhi.
6. Schmalensee, R and Robert Willig (1989) : Handbook of Industrial Organization (Vol. I& II), Elsevier, North Holland.

PAPER VI : OPTION (iii): PUBLIC POLICY AND GOVERNANCE

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hour : 40
Time : 3 Hours

OBJECTIVES:
Policy Analysis has increasingly evolved into a structured set of steps that help policy makers, decision makers in the government, and society at large, to explore ways to improve the provision of public goods and services. The study of Public Policy process with a special focus on economic policy and governance is imperative to build the capacity to conduct research in economic issues of contemporary relevance.

Pedagogy of Course Work: The course relies on a combination of lectures, solving problems, and discussing of academic articles or real-life situations. Teacher will assign topic for assignments on contemporary themes and issues from the syllabi. Special tutorials/contact hour for one-to-one student-teacher interactions.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.
The First question consisting 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT-I

Role of the State in Policy Making: Market Failure and Need for Government Intervention. Government Failure. Alternatives to Market and Government Failure. Meaning and Role of Centre of Government.

UNIT-II

Policy Process: Need for Public Policy. Policy making process. Models of Public Policy - Institutional, Process, Incremental, Group, Elite, Public Choice and Game Theory model. Attributes of a good policy making process.

UNIT-III

Governance: Concept and Need for Good Governance. Dynamic Governance. Transparency and Governance. Concept of Fragile State – Failed Governance.

UNIT-IV

Economic Policies: Economic theories as policy guides. Economic Governance. Governance Issues in India's Economic Reforms . Governance and Policy Implementation in India.

References:

1. R. Dye, Thomas (2002) : Understanding Public Policy. Pearson Education, New Delhi.

2. Nagel, Stuart S., (1984) : Public Policy – Goals, Means and Methods, St. Martin's Press, N.Y.

3. Nagel, Stuart S., (2000) : India's Development and Public Policy, Ashgate Publication Co.

4. Hill, M and Hupe, P (2002) : Implementing Public Policy. Sage, London.

5. Government of India : Twelfth Plan Document Several Articles and Working Papers.

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